KAPASA MAKASA UNIVERSITY
Course Content

CODE: ISB140
NAME: Principles of Microeconomics

DESCRIPTION

This course introduces microeconomic applications that are used to address current economic issues. It covers a
wide range of microeconomic concepts and analysis, including supply and demand analysis, theories of the firm,
industries and individual behavior, competition, monopoly, and welfare economics. Students will gain a
comprehensive understanding of the fundamental principles that underlie individual economic decision-making
and their broader implications for society. economics.

RATIONAL

OBJECTIVES

Aim

The aim of this course is to provide students with a strong foundation in microeconomic theory and its practical
applications. By the end of the course, students should be equipped to analyze and address real-world economic
issues, make informed decisions as consumers and producers, and appreciate the significance of
microeconomics in shaping economic policies and outcomes.

Main Objective

By the end of the course-tenure the students should be able to:

- Understand the fundamental principles of microeconomics and their relevance in today's economic
context.
- Analyze and interpret supply and demand in different market scenarios.
- Comprehend the behavior of firms and industries under various market structures.
- Evaluate the impact of competition and monopoly on market outcomes.
- Apply economic concepts to assess consumer and producer decisions.
- Assess the efficiency and equity implications of economic policies using welfare economics.
- Analyze and propose solutions for real-world economic issues based on microeconomic principles.
- Develop critical thinking skills through economic problem-solving.
- Communicate economic concepts and analysis effectively.

CONTENT

Unit 1: Introduction to Microeconomics

- Definition and scope of microeconomics
- Distinction between microeconomics and macroeconomics

• Key microeconomic concepts: opportunity cost, scarcity, rational decision-making
• The role of microeconomics in shaping economic policy and decision-making
• Historical perspectives and the evolution of microeconomic thought
• The scientific method and economic research
• Microeconomics and interdisciplinary connections (e.g., psychology, sociology)
• Practical applications of microeconomics in daily life
• The importance of economic literacy for informed citizenship
• Role of microeconomic analysis in addressing global challenges (e.g., poverty, climate change)

Unit 2: Supply and Demand Analysis
• The law of demand: factors influencing consumer demand
• The law of supply: factors influencing producer supply
• Market equilibrium and price determination: the interplay of supply and demand
• Shifts in supply and demand curves: causes and consequences
• Price elasticity of demand and supply: measuring responsiveness to price changes

• Cross-price elasticity and income elasticity
• Price controls and their impacts on markets
• Case studies of supply and demand in specific industries
• Government intervention in markets and its effects
• Global supply and demand considerations and international trade implications

Unit 3: Consumer Behavior and Utility Analysis
• Utility and preferences: understanding consumer choices
• Budget constraints and consumer choice
• The concept of consumer surplus: its significance and calculation
• Income and substitution effects in response to price changes
• Applications of elasticity in consumer behavior analysis
• Revealed preference theory and consumer demand
• Behavioral economics insights into consumer decision-making
• Ethical considerations in advertising and consumer choices
• The role of consumer psychology in marketing strategies
• The impact of technological advancements on consumer behavior

Unit 4: The Firm and Production
• Production functions: short-run versus long-run considerations
• Cost analysis: fixed costs, variable costs, and total costs
• Profit maximization and the relationship between costs and revenue
• Market structures: perfect competition and monopoly
• Pricing strategies and the impact of market power
• Profit and revenue in different market structures
• Economies of scale and scope in production
• Technological advancements and their influence on production
• Innovations and their role in business strategies
• Labor markets and the economic implications of wage differentials
Unit 5: Monopolistic Competition and Oligopoly
• Characteristics of monopolistic competition and oligopoly
• Product differentiation and non-price competition
• Game theory and strategic behavior in oligopolistic markets

- Pricing strategies in monopolistic competition and oligopoly
- Market outcomes and efficiency in these market structures
- Branding and product differentiation strategies
- Mergers and acquisitions in oligopoly
- Competitive dynamics in the airline and telecommunications industries
- The role of patents and intellectual property in technology markets
- Implications of digital platforms and e-commerce on market competition

Unit 6: Market Failures and Government Intervention

- Market failures: causes and consequences
- Types of externalities: negative and positive externalities
- Public goods and the problem of the commons

• Role of government in addressing market failures
• Evaluation of government policies and regulations in addressing market failures
• Pigouvian taxes and subsidies as corrective measures
• Regulatory agencies and their roles in specific industries (e.g., FDA, FCC)
• Case studies of government intervention in markets
• The economics of healthcare and healthcare policy
• Environmental regulation and sustainability considerations

Unit 7: Welfare Economics
• Efficiency and equity in market outcomes
• Pareto efficiency and the conditions for Pareto improvement
• Analysis of taxation and subsidies from a welfare perspective
• Deadweight loss and its implications
• Distributional effects of economic policies
• Cost-benefit analysis in policy evaluation
• Social welfare functions and ethical considerations
• The economics of public education and income redistribution
• The economics of public healthcare and access to healthcare services
• International perspectives on welfare economics and development economics

Unit 8: Applications of Microeconomics
• Real-world applications of microeconomic analysis: healthcare, education, and environmental policies
• Case studies on economic issues: analyzing market dynamics, policies, and outcomes
• Role of microeconomics in understanding business decision-making
• Economic analysis of consumer behavior and market strategies
• Student-led discussions on contemporary economic challenges and opportunities
• Microeconomics in public policy and government decision-making
• Economic impact assessments and economic development planning
• Business case studies and strategic decision-making
• Microeconomic analysis in the context of international development
• The economics of emerging technologies and their societal implications

Unit 9: Critical Thinking and Problem-Solving
• Developing critical thinking skills in economic analysis
• Practical problem-solving exercises: analyzing and addressing real-world economic problems
• Group discussions and debates on economic issues
• Application of economic principles to develop innovative solutions
• Ethical considerations in economic decision-making
• Economic forecasting and scenario analysis
• Decision-making under uncertainty and risk
• The role of data analysis in economic research
• Analyzing policy options and their potential consequences
• Economic implications of global crises and pandemics

Unit 10: Effective Communication in Microeconomics
• Communicating economic concepts and analysis clearly and persuasively
• Writing economic reports and essays: structure and content
• Preparing and delivering effective presentations of economic arguments and findings
• Engaging in constructive peer reviews
• Developing professional communication skills for careers in economics and related fields
• Communicating economic research to diverse audiences

• The role of data visualization in economic communication
• Using technology for effective economic communication
• Communicating economic insights to policymakers and stakeholders
• Ethical considerations in economic communication and data reporting

Unit 11: Market Structures and Competition
• Characteristics of perfect competition, monopolistic competition, oligopoly, and monopoly
• Price and output determination in each market structure
• Comparing and contrasting the efficiency and equity implications of different market structures
• Barriers to entry and exit in various markets
• Analyzing market structure dynamics and their impact on industry behavior
• Price discrimination and its effects on market outcomes
• Collusion and cartel behavior in oligopoly
• Creative destruction and market innovation
• The role of antitrust laws and regulatory bodies
• Behavioral economics and its influence on market competition
Unit 12: Income Distribution and Poverty
• Factors influencing income distribution
• Measures of income inequality (e.g., Gini coefficient)
• Theories of income distribution, including human capital and dual labor market theories
• Government policies addressing poverty and income inequality
• The impact of economic growth on income distribution
• The role of education and training in income mobility
• The poverty threshold and methods of measuring poverty
• The economics of discrimination and wage gaps
• Progressive and regressive taxation and their effects on income distribution
• Global perspectives on income inequality and poverty reduction
Unit 13: International Trade and Globalization
• The gains from international trade and specialization
• Trade restrictions, tariffs, and quotas
• Comparative advantage and its role in global trade
• Impacts of globalization on national economies, including job outsourcing and offshoring
• Trade policies and their effects on international markets
• Trade agreements and their economic implications (e.g., NAFTA, WTO)
• Exchange rates and their impact on international trade
• Trade imbalances and their consequences
• Economic sanctions and trade wars
• Sustainability considerations in global trade
Unit 14: Behavioral Economics and Decision-Making
• Principles of behavioral economics and its roots in psychology
• Cognitive biases and their influence on decision-making, including confirmation bias and loss aversion
• Prospect theory and its application to decision under risk
• Nudging and choice architecture in policy design
• Applications of behavioral economics in marketing, including pricing strategies
• Public policy interventions informed by behavioral insights
• Ethical considerations in behavioral economics, including paternalism and autonomy
• Neuroeconomics and the role of brain imaging in understanding economic behavior
• The impact of emotions on economic decision-making

• The role of social norms in economic choices

Unit 15: Environmental Economics and Sustainability

• The concept of externalities in environmental economics
• The role of property rights in resource allocation, including the tragedy of the commons
• Market-based solutions to environmental problems, such as cap and trade systems
• The economics of pollution control, including cost-benefit analysis
• Sustainable development and the economic dimensions of environmental conservation
• Policies and incentives for promoting green technologies and practices

• The economics of renewable energy and the role of subsidies
• The circular economy and waste reduction strategies
• The role of environmental economics in addressing climate change
• International agreements and commitments related to environmental sustainability

HOURS 180

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